Today, stringent KYC norms keep too many out of the banking system, and lead to unnecessary harassment for others. Banks may adopt these norms more because of regulatory or legal liability than to safeguard against true criminal or terrorist activity. Can't we do better? Some bankers suggest that by monitoring activity patterns in accounts carefully, even while putting some limits on basic accounts (such as holding a large value cheque for a few days before it is cashed), much of the suspicious activity can be detected and stopped. Could we allow a commercial bank some regulatory dispensation in case there is minor mischief in some low value accounts, provided the bank has a reliable system in place to detect greater mischief? Could the gains in easing widespread access to safe accounts outweigh the costs of minor fraud? How can we get entities within the system to rely on each other's KYC, without the process having to be continuously repeated? How can technology assist in effectively addressing the above issues? These are questions we have to examine and address.

The broader issue is whether through sophisticated state-of-the-art technology, we can offer customers products that are simple, low cost, and easy to use. We have done this with mobile phones, can we do it with banking? Payments may be another obvious product. I should note that our payments infrastructure in India is very advanced. We have three large RBI technology centres devoted to supporting payments and robust payment and settlement networks for both large value and small transactions. We have introduced an additional factor of authentication for all e-commerce transactions – which makes these transactions more secure – and are swiftly moving to Chip and PIN technology for credit card transactions. SMS alerts for bank and credit card transactions are an important advance relative to even the United States, where thieves find it easy to bill thousands of dollars to your